

KENYA COMMERCIAL BANK GROUP
AUDITED RESULTS FOR THE PERIOD ENDED 31 DECEMBER 2010

	GROUP		BANK	
	31-Dec-09	31-Dec-10	31-Dec-09	31-Dec-10
	Kshs 000	Kshs 000	Kshs 000	Kshs 000
	Audited	Audited	Audited	Audited
I BALANCE SHEET				
1 ASSETS				
1.1 Cash (both Local & Foreign)	7,066,591	10,009,715	4,760,954	5,777,976
1.2 Balances due from Central Bank of Kenya	8,751,021	8,018,535	8,751,021	8,018,535
1.3 Kenya Government securities	21,284,985	42,051,335	21,284,985	42,051,335
1.4 Foreign Currency Treasury Bills & Bonds	646,537	1,346,799	-	-
1.5 Deposits and balances due from local banking institutions	1,700,000	2,880,000	1,700,000	2,880,000
1.6 Deposits and balances due from banking institutions abroad	11,421,106	16,300,581	4,236,128	1,079,963
1.7 Kenya Government and other securities held for dealing purposes	2,628,843	847,876	2,628,843	847,876
1.8 Tax recoverable	509,370	11,009	494,903	-
1.9 Loans and advances to customers (net)	122,659,082	148,113,364	98,749,618	137,344,568
1.10 Investment securities	1,921,277	5,862,488	1,921,277	5,862,488
1.11 Balances due from group companies	-	-	5,209,111	-
1.12 Investments in associates	-	-	125	125
1.13 Investments in subsidiary companies	-	-	5,188,725	6,769,498
1.14 Investments in joint ventures	-	-	-	-
1.15 Investment properties	-	-	-	-
1.16 Property and equipment	7,746,619	8,271,647	5,827,993	5,888,285
1.17 Prepaid lease rentals	147,958	145,893	145,674	143,644
1.18 Intangible assets	1,354,478	1,368,385	1,354,478	1,319,367
1.19 Deferred tax asset	107,280	1,126,284	-	855,115
1.20 Retirement benefit asset	-	-	-	-
1.21 Other assets	6,832,688	5,002,289	5,969,380	4,185,781
1.22 TOTAL ASSETS	194,777,835	251,356,200	168,223,215	223,024,556
2 LIABILITIES				
2.1 Balances due to Central Bank of Kenya	-	1,499,595	-	1,499,595
2.2 Customer deposits	163,029,350	196,974,651	138,452,731	163,188,681
2.3 Deposits and balances due to local banking institutions	3,048,635	8,025,637	3,048,635	8,025,637
2.4 Deposits and balances due to foreign banking institutions	3,619,753	1,531,735	2,100,158	1,282,069
2.5 Other money market deposits	-	-	-	-
2.6 Borrowed funds	-	-	-	-
2.7 Balances due to group companies	-	-	-	4,638,052
2.8 Tax payable	110,361	1,837,722	-	1,750,345
2.9 Dividends payable	-	-	-	-
2.10 Deferred tax liability	12,363	121	12,225	-
2.11 Retirement benefit liability	-	-	-	-
2.12 Other liabilities	2,387,161	2,356,968	2,211,551	1,763,732
2.13 TOTAL LIABILITIES	172,207,623	212,226,429	145,825,300	182,148,111
3 SHAREHOLDERS' FUNDS				
3.1 Paid up /Assigned capital	2,217,778	2,950,260	2,217,778	2,950,260
3.2 Share premium	7,297,986	18,565,504	7,297,986	18,565,504
3.3 Revaluation reserves	228,011	(172,625)	347,908	225,356
3.4 Retained earnings	10,503,989	13,953,178	10,230,250	15,388,072
3.5 Statutory loan reserves	104,670	145,629	86,215	59,428
3.6 Proposed dividends	2,217,778	3,687,825	2,217,778	3,687,825
3.7 Capital grants	-	-	-	-
3.8 TOTAL SHAREHOLDERS' FUNDS	22,570,212	39,129,771	22,397,915	40,876,445
3.10 TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS	194,777,835	251,356,200	168,223,215	223,024,556

- - - -

II PROFIT AND LOSS ACCOUNT

4 INTEREST INCOME

4.1 Loans and advances	
4.2 Government securities	
4.3 Deposits and placements with banking institutions	
4.4 Other Interest Income	
4.5 Total interest income	

5 INTEREST EXPENSE

5.1 Customer deposits	
5.2 Deposits and placement from banking institutions	
5.3 Other interest expenses	
5.4 Total interest expenses	
5.5 NET INTEREST INCOME	

6 OTHER OPERATING INCOME

6.1 Fees and commissions on loans and advances	
6.2 Other fees and commissions	
6.3 Foreign exchange trading income	
6.4 Dividend Income	
6.5 Other income	
6.6 Total non-interest income	
6.7 TOTAL OPERATING INCOME	

7 OPERATING EXPENSES

7.1 Loan loss provision	
7.2 Staff costs	
7.3 Directors' emoluments	
7.4 Rental charges	
7.5 Depreciation charge on property and equipment	
7.6 Amortisation charges	
7.7 Other operating expenses	
7.8 Total operating expenses	
7.9 Profit before tax and exceptional items	
7.10 Exceptional items	
7.11 Profit after exceptional items	
7.12 Current tax	
7.13 Deferred tax	
7.15 Profit after tax and exceptional items	

8 EARNINGS PER SHARE- DILUTED & BASIC KSHS

9 DIVIDEND PER SHARE - PROPOSED KSHS

GROUP		BANK	
31-Dec-09	31-Dec-10	31-Dec-09	31-Dec-10
Kshs 000	Kshs 000	Kshs 000	Kshs 000
Audited	Audited	Audited	Audited
14,483,274	17,663,904	11,823,622	16,162,740
3,122,695	5,259,702	2,952,520	5,178,712
362,486	186,187	468,330	99,810
-	-	-	-
17,968,455	23,109,793	15,244,472	21,441,262
3,136,547	3,307,581	2,553,410	2,802,736
363,187	156,887	322,702	140,145
-	-	-	-
3,499,734	3,464,468	2,876,112	2,942,881
14,468,721	19,645,325	12,368,360	18,498,381
3,576,402	4,091,986	2,635,520	3,212,596
2,273,266	2,696,594	2,177,462	2,405,750
1,648,227	2,775,494	1,332,444	1,357,658
1,138	1,185	387,138	1,519,248
1,792,434	1,450,803	1,768,843	1,392,649
9,291,467	11,016,062	8,301,407	9,887,901
23,760,188	30,661,387	20,669,767	28,386,282
1,574,201	2,144,320	1,156,701	1,898,230
7,144,078	9,379,643	6,099,659	8,024,266
104,147	104,401	90,409	91,522
544,054	798,141	164,321	236,654
1,078,012	1,382,540	871,392	1,029,436
303,966	375,249	303,966	371,219
6,711,369	6,679,122	5,557,761	5,197,422
17,459,827	20,863,416	14,244,209	16,848,749
6,300,361	9,797,971	6,425,558	11,537,533
-	-	-	-
6,300,361	9,797,971	6,425,558	11,537,533
(1,649,922)	(3,651,244)	(1,358,133)	(3,560,777)
(566,568)	1,031,246	(514,746)	842,104
4,083,871	7,177,973	4,552,679	8,818,860
1.84	2.76	2.05	3.40
1	1.25	1	1.25

III OTHER DISCLOSURES

	GROUP		BANK	
	31-Dec-09 Kshs 000 Audited	31-Dec-10 Kshs 000 Audited	31-Dec-09 Kshs 000 Audited	31-Dec-10 Kshs 000 Audited
10 NON-PERFORMING LOANS AND ADVANCES				
10.1 (a) Gross Non-performing loans and advances	14,639,581	14,583,382	12,172,875	13,053,727
10.2 (b) Less Interest in Suspense	1,914,873	1,796,530	1,624,094	1,707,256
10.3 (c)Total Non-Performing Loans and Advances (a-b)	12,724,708	12,786,852	10,548,781	11,346,471
10.4 (d) Less Loan Loss Provision	6,274,640	6,790,567	5,969,865	6,471,258
10.5 (e) Net Non-Performing Loans and Advances(c-d)	6,450,068	5,996,285	4,578,916	4,875,213
10.6 (f) Discounted Value of Securities	6,450,068	5,996,285	4,578,916	4,875,213
10.7 (g) Net NPLs Exposure (e-f)	-	-	-	-
11 INSIDER LOANS AND ADVANCES				
11.1 (a) Directors, Shareholders and Associates	3,693,186	4,213,193	3,678,774	4,198,868
11.2 (b) Employees	4,148,943	4,989,949	4,115,048	4,956,054
11.3 (c)Total Insider Loans and Advances and other facilities	7,842,129	9,203,142	7,793,822	9,154,922
12 OFF-BALANCE SHEET ITEMS				
12.1 (a)Letters of credit,guarantees, acceptances	32,909,317	72,429,394	32,865,196	69,532,289
12.2 (b)Other contingent liabilities	19,099,335	25,002,591	18,925,217	23,319,177
12.3 (c)Total Contingent Liabilities	52,008,652	97,431,985	51,790,413	92,851,466
13 CAPITAL STRENGTH				
13.1 (a)Core capital			17,673,714	35,220,808
13.2 (b) Minimum Statutory Capital			350,000	500,000
13.3 (c)Excess (a-b)			17,323,714	34,720,808
13.4 (d) Supplementary Capital			86,215	59,428
13.5 (e) Total Capital (a+d)			17,759,929	35,280,236
13.6 (f)Total risk weighted assets			119,237,891	152,310,594
13.7 (g) Core Capital/Total deposits Liabilities			12.8%	21.6%
13.8 (h) Minimum statutory Ratio			8.0%	8%
13.9 (l) Excess			4.8%	13.6%
13.10 (j) Core Capital / total risk weighted assets			14.8%	23.1%
13.11 (k) Minimum Statutory Ratio			8.0%	8%
13.12 (l) Excess (j-k)			6.8%	15.1%
13.13 (m) Total Capital/total risk weighted assets			14.9%	23.2%
13.14 (n) Minimum statutory Ratio			12.0%	12%
13.15 (o) Excess (m-n)			2.9%	11.2%
14 LIQUIDITY				
14.1 (a) Liquidity Ratio			28.1%	30.7%
14.2 (b) Minimum Statutory Ratio			20.0%	20.0%
14.3 (c) Excess (a-b)			8.1%	10.7%

DIVIDEND

The directors have resolved to recommend to members at the forthcoming fortieth Annual General Meeting a First and Final dividend for the year 2010 of Shs.1.25 per share to be paid on or about Friday, 3 June, 2011 to shareholders registered at the close of business on Monday, 9 May 2011. The register of members will be closed for one day on Tuesday, 10 May, 2011 for the purpose of processing the dividend.

ANNUAL GENERAL MEETING

Notice is hereby given that the fortieth Annual General Meeting of the shareholders of Kenya Commercial Bank Limited will be held at the Tsavo Ball Room, Kenyatta International Conference Centre on Friday, 6 May 2011 at 11.00 a. m. Full notice and Agenda will be published at a later date.

MESSAGE FROM THE DIRECTORS

The above Balance Sheet and Profit and Loss Account are extracts from the Group's and Bank's financial statements which have been audited by ERNST & YOUNG and received an unqualified opinion.

The financial statements were approved by the Board of Directors on 24 February 2011, and were signed on its behalf by:

P W Muthoka (MBS) - Chairman

-Chairman

M L Oduor-Otieno

-Chief Executive

Musa Ndeto

-Director

K D Malakwen

-Secretary

